Let small business get on with business

ACT will lower the cost and risk of employing people, make employment law simpler and fairer, and modernise tax rules so small businesses can hire, invest, and grow.

When Government makes hiring someone more expensive, managing an employment relationship more difficult, or resolving a problem more legally risky, businesses respond by hiring fewer people, offering fewer hours, or simply deciding not to take a chance on someone.

That means the cost is not only borne by the employer. It is borne by the young person who cannot get their first job, the worker who misses out on extra hours, the person trying to get back into work, and the employee whose wage cannot rise because more of the business's budget is being absorbed by regulation and compliance.

Successful businesses employ people, invest in their communities, develop new products, pay wages and taxes, and compete to give customers better choices. Their success creates opportunities for other New Zealanders. That is why ACT believes Government should make it easier to do business, not pit employers and employees against each other when their success goes hand in hand.

ACT has already delivered major changes in Government. We have repealed Fair Pay Agreements, restored 90-day trials, simplified employment law, replaced the broken Holidays Act, reduced unnecessary health and safety paperwork, and established a Ministry for Regulation dedicated to challenging rules that impose more cost than benefit.

But there is more to do. Small businesses need certainty over their costs, confidence to take a chance on new workers, simpler ways to resolve employment problems, and tax rules that reflect the way modern businesses actually operate.

01 Freeze the minimum wage for three years

ACT will freeze the adult minimum wage for three years.

When Government increases the cost of employing someone faster than productivity is growing, that cost has to show up somewhere. For a small business operating on tight margins, it can mean higher prices, fewer hours, reduced hiring, lower investment, or deciding not to create a job in the first place.

The people most exposed are often those with the fewest alternatives. An experienced and highly productive worker will generally earn more than the minimum wage anyway. It is younger workers, people with less experience, and those trying to get back into work who are most likely to miss out when the minimum cost of hiring them rises beyond what an employer can justify.

Wages can sustainably rise when workers become more productive and businesses can afford to pay more. But New Zealand's productivity performance has been weak while Governments have continued increasing the cost of employing people regardless.

A three-year freeze would give productivity and market wages time to catch up, while giving businesses certainty over one of their largest costs. Employers would remain free to pay more, as many already do.

02 Introduce a Training Wage

ACT will establish a Training Wage at 60 per cent of the adult minimum wage for workers under 20, available for their first 12 months with an employer.

Getting your first job is harder when Government requires an employer to pay an inexperienced teenager almost the same minimum rate as an experienced adult from day one.

Employing a young person often means taking a chance. They may need more supervision, more training, and time to learn the habits and skills expected in a workplace. The law should recognise that reality rather than pricing young people out of opportunities to gain experience.

The Training Wage will be set at 60 per cent of the adult minimum wage. It would apply to workers aged under 20 for the first 12 months they work for a particular employer. For workers covered by the new regime, it would replace the existing restrictive Starting-Out wage criteria. Ordinary employment protections would continue to apply.

A meaningful Training Wage would reflect the additional cost of training inexperienced workers and give employers a stronger reason to create entry-level jobs.

Early employment matters. A first job teaches practical skills, reliability, confidence and experience that make it easier to get the second job and the third. Government should be helping young New Zealanders onto the employment ladder, not pulling the first rung out of reach.

03 Allow protected employment exit negotiations

ACT will allow protected, without-prejudice negotiations so employers and employees can mutually agree an employment exit without unnecessary legal risk.

Not every employment relationship works out. Sometimes the employer and employee can both see that the relationship has run its course, but the law makes having an honest conversation unnecessarily risky.

Employers can be reluctant even to raise the possibility of an agreed departure because they fear the conversation itself may later be used against them in a personal grievance or unjustified dismissal claim. Instead of encouraging an early, sensible resolution, the system can push both sides towards formal processes, lawyers, escalating costs, and greater conflict.

Under this policy, an employer could invite an employee to discuss ending the employment relationship by agreement, including an offer of compensation. The employee would be under no obligation to participate or accept an offer. Those discussions would generally not be admissible in later employment proceedings.

This will give adults room to have a practical conversation and reach an agreement without turning every difficult employment relationship into a legal battle.

04 Shorten the time limit for personal grievances

ACT will limit the time to take a personal grievance to the Employment Relations Authority to 90 days after it is raised, while retaining the existing rules for sexual-harassment grievances.

Employment disputes should be resolved promptly, not left hanging over an employer for years. Under current law, an employee generally has 90 days to raise a personal grievance, but can then have up to three years to take it to the Employment Relations Authority. That can leave businesses facing prolonged uncertainty and the risk of litigation long after an employee has left or a dispute appeared to have ended.

ACT would retain the existing 90-day period for raising a grievance. Once raised, the employee would generally have a further 90 days to take the matter to the Authority if it cannot be resolved.

That period could be extended by written agreement between the employer and employee. Existing exceptional-circumstances provisions would remain, and the separate three-year timeframe for sexual-harassment grievances would not change.

People should have a fair opportunity to pursue a genuine grievance, but businesses should also be able to move on once a reasonable period has passed.

05 Make unions collect their own fees

ACT will end compulsory employer collection of union membership fees and make payroll deductions voluntary.

Union membership is an agreement between a worker and a union. Collecting union membership fees should therefore be a matter for unions and their members.

At present, employers can be required to deduct union fees from employees' wages and transfer the money to the union. That makes a private membership arrangement someone else's payroll administration.

Modern banking makes it simple for unions to arrange direct payment with their own members. Employers and unions would remain free to agree voluntarily that the employer will deduct and transfer membership fees, but neither side would be compelled to do so.

06 Modernise the tax treatment of software and digital investment

ACT will modernise tax rules for software and digital investment so businesses can deduct productive technology investment on a clear and consistent basis.

The way businesses invest has changed faster than the tax system. A modern small business may invest in software development, cloud systems, digital platforms, customised databases, automation, or other technology that is just as important to productivity as a machine sitting on the factory floor.

New Zealand's tax rules already recognise some software as depreciable property, but the treatment of modern digital investment can depend on technical distinctions about how software was acquired, developed, configured, or delivered.

That complexity can produce different tax treatment for investments that perform essentially the same economic function. Tax rules should not push a business towards one technology simply because Inland Revenue treats it more favourably than another.

A good system should be as neutral as possible between physical and digital investment and recognise that software often becomes obsolete far more quickly than traditional plant and equipment.

The Government should not penalise a business for investing in the technology that will make it more productive.

Back the people who create opportunity

New Zealand will not become more prosperous by making it harder to employ somebody, take a chance on a young worker, resolve a dispute, or invest in technology.

Small-business owners put their own time, savings and reputations on the line. When they succeed, they create jobs, train workers, serve customers, generate new ideas, and provide the tax base that funds everything Government does.

ACT's approach is different from the assumption that every problem needs another rule. New Zealanders have enormous potential when Government gets out of the way and allows them to get on with reaching it.

Freezing mandated cost increases, opening the door to young workers, reducing employment-law uncertainty, cutting pointless payroll administration, and encouraging productive investment will give small businesses greater confidence to grow.

That means more businesses competing, more people being hired, more investment taking place, and ultimately higher productivity and higher wages.

ACT will cut the cost, risk and red tape of doing business to unlock New Zealand's potential.